

TRENDS IN SUBMINIMUM WAGE EMPLOYMENT FROM 2013 TO 2022, PART 1: NUMBER OF 14(C) CERTIFICATES

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Section 14(c) of the Fair Labor Standards Act authorizes employers to pay certain employees with disabilities less than minimum wage, also known as subminimum wage. In recent years the underlying assumptions of this regulation and its use have come under increasing pressure from policymakers and advocates. As full implementation of the Center for Medicare & Medicaid Services (CMS) Settings Rule nears and states increasingly implement legislation or policy that prohibits the payment of subminimum wage, the number of 14(c) certificate holders and the number of 14(c) workers has declined dramatically.

These data were compiled from the [list of 14\(c\) certificate holders](#) published by the U.S. Department of Labor, Wage and Hour Division.

To participate in the 14(c) program, employers must submit an application and apply for renewal every two years. In this application a substantial majority of 14(c) employers identify as Community Rehabilitation Providers (CRPs), while a small number identify as School Work Experience Programs, Business Establishments, or Hospital/Patient Worker Programs (see Table 1). Some certificate holders identify under more than one category, including as a CRP and School Work Experience Program (5 certificate holders); CRP and Business Establishment (17); CRP and Patient/Hospital Worker (28); Patient/Hospital Worker and Business Establishment (1); and School Work Experience Program and Patient/Hospital Worker (2).

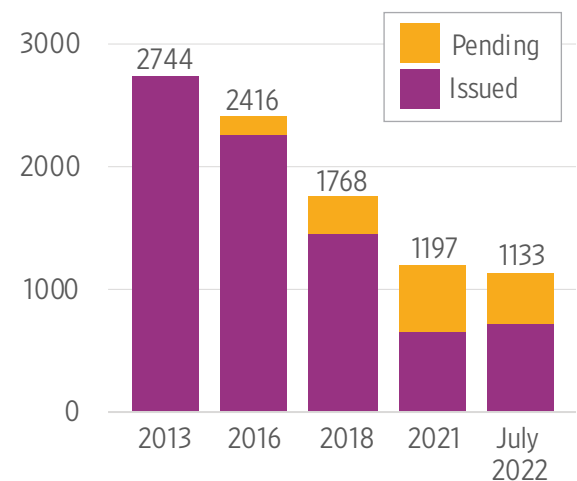
The number of certificate holders, including both issued and pending certificates, declined by almost 60% from 2,744 in 2013 to 1,133 in July 2022 (Figure 1). During that period, the number of certificates classified as pending increased. No certificates were identified as pending in 2013, while pending certificates represented 36% of all 14(c) certificate holders in July 2022.

Despite this dramatic decline in the overall number of 14(c) certificate holders, there continues to be substantial state to state variation in participation in 14(c) employment. In July 2020, eight states and the District of Columbia had no certificate holders. The average number of certificate holders/1 million population was five for states that had active certificates and seven states had 10 or more certificate holders/1 million population (Table 2).

Table 1. 14(c) certificate holders July 2022

	Number of employers	Percent of employers
Community Rehabilitation Provider	1054	93%
School Work Experience Program	12	1.1%
Business Establishment	62	5.5%
Hospital/Patient Worker Program	55	4.9%
Total	1133	100%

Figure 1. Number of 14(c) certificate holders



1 Because of the large number of certificates identified as pending in July 2022, we used the mean number of employees for issued certificates in each state to estimate the total number of workers in the state who were earning subminimum wage.

Table 1. Number of 14(c) certificate holders per state

	Certificates Issued	Certificates Pending	Total Certificates	Certificate holders/ 1 million population
AK	1	0	1	1
AL	2	3	5	1
AR	21	13	34	11
AZ	29	11	40	5
CA	54	8	62	2
CO	4	3	7	1
CT	21	2	23	6
DC	0	0	0	0
DE	0	0	0	0
FL	23	13	36	2
GA	13	0	13	1
HI	0	0	0	0
IA	7	6	13	4
ID	4	3	7	4
IL	50	43	93	7
IN	15	20	35	5
KS	8	17	25	9
KY	20	5	25	6
LA	8	9	17	4
MA	7	6	13	2
MD	0	0	0	0
ME	0	0	0	0
MI	13	10	23	2
MN	69	4	73	13
MO	38	54	92	15
MS	5	2	7	2
MT	7	7	14	13
NC	17	19	36	3
ND	11	2	13	17
NE	6	3	9	5
NH	0	0	0	0
NJ	24	10	34	4
NM	2	0	2	1
NV	3	3	6	2
NY	30	5	35	2
OH	18	44	62	5
OK	29	19	48	12
OR	2	0	2	0
PA	51	6	57	4
RI	0	0	0	0
SC	14	4	18	3
SD	8	0	8	9
TN	1	2	3	0
TX	21	22	43	1
UT	6	9	15	5
VA	7	5	12	1
VT	0	0	0	0
WA	3	4	7	1
WI	50	10	60	10
WV	2	3	5	3
WY	0	0	0	0
Total	724	409	1133	5

* No 14(c) certificates reported

** The number of workers for pending certificates was estimated using the state mean number of workers per certificate

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